

Do permits keep prices in check?

A public claim, tested against research, Eurostat and the census

THE CLAIM

“Continuing to issue permits helps keep property prices in check.”

Johann Buttigieg, Planning Authority CEO, MaltaToday, 2 March 2025

“Stopping them would drive prices up.”

Asked about 91,000 dwellings approved in a decade (PA data: 87,814 in 2015–2024).

VERDICT

LARGELY SUPPORTED

*Right in direction,
size of effect unproven.*

SUPPORTED

LARGELY
SUPPORTED

NOT
SUBSTANTIATED

MISLEADING

CONTRADICTED

MAIN RESULTS

Grade B

Research agrees

Peer-reviewed studies: where supply is held back, demand turns into higher prices.

+31%

The EU's largest demand shock

Malta's population grew 31% in 2015–2025, the most in the EU (EU +2%).

16th

Price rise below most states

Real house prices +34% (provisional): above the EU aggregate (+25%), below the median state (+41%).

+53%

Rents rose fast

Rents paid by tenants rose 53% in 2015–2025, against 21% for the EU (8th of 27).

6.0%

Affordability worsened

People overburdened by housing costs: 1.1% (2015) to 2.9% (2022); about 6% since a 2023 series break (EU 7.7%).

FAIR TO SAY

Overcrowding in Malta (4.7%) is a quarter of the EU rate, and 27.5% of dwellings were not a main home in 2021. This check covers prices only, not the environmental cost of the permits.

WHAT WOULD SETTLE IT

☐ Completions, not only approvals.

☐ How many new units become main homes.

☐ Any Malta estimate of the price effect.

☐ The source of the 91,000 figure.